DECATHLON

STRATEGY REPORT

***Prepared By*:**
Hussaina, Bala, Meyyappan, Midhul, Prem

Overview

Introduction

Founded in 1976 by the Frenchman Michel Leclercq in Lille, Decathlon has become one of the best-known sports stores in the entire world. Starting with the idea of combining all sports equipment at the same location, the idea revolutionized the way sportspeople have access to sports gear. Decathlon began as a single store selling sport-related items in northern France and now boasts over 1,700 locations in over 60 countries. It is now a global leader in accessibility in sport, prioritising affordability, innovation and sustainability. This mission is echoed throughout its deep portfolio of in-house brands like Quechua, Domyos and Tribord, which cover a wide range of sports and activities. Decathlon designs, makes and distributes these brands all under one roof with incredible quality and cost-effective solutions for the customer.

Decathlon has always placed customer centricity at its core. It was one of the first brands to develop eco-design products, a commitment to sustainability that remains a defining aspect of its practices. Its initiatives to implement a circular economy are reflected in its own renting services, enabling customers to use high-quality sports gear without having to resort to long-term ownership, as well as its focus on sustainability. This rental model reiterates Decathlon's mission to eliminate waste, extend product life cycles and create inclusive opportunities for individuals to engage in sports.

At present, these rentals are available for camping, hiking, water sports and fitness activities. These services target occasional users, families and travelers who want convenience and low cost. But, there are as many opportunities for growth in this oriented sector. Customers come in all shapes, sizes and abilities; therefore the rental framework already established can be focused to better serve everyone from those entering new sports to advanced sportsmen seeking specialized clothing and equipment. Walking on in the same way of enhanced segmentation, optimized inventory management, and digital integration, opens new opportunities for Decathlon to shine in the rental space.

It focuses on rethinking Decathlon's renting services based on its current practices and customer behavior. And not only strives to increase accessibility and alleviate pain points to enhance user experience but also provides specific solutions in line with Decathlon's sustainability commitment. More sophisticated segmentation techniques will pinpoint select customer segments for growth, and digital technologies, like a mobile-first approach and tailored suggestions that will facilitate the rental journey. These innovations are part of Decathlon's vision to be a company that empowers everyone to take up sport uninhibited while advocating for eco-friendly practices.

By the end it will hopefully allow Decathlon's rental offering to be a reference in the industry. Filling existing gaps and laying out progressive pathways, the initiative will further push Decathlon's position as a leader in accessible, sustainable and innovative sports solutions. It reinforces the organization's central goal, that access to sports should be fairly simple and shows that a profitable business can provide great customer value.

Analysis with Tools

I)Mission vision and value statement of Decathlon

DECATHLON, one of the biggest sporting brands in the world, was not created by chance. It is the culmination of a vision, that of Michel Leclercq, who was able to spot the potential of a booming market and turn it into a unique success story.

Their Purpose

Move people through the wonders of sport.

Mission

To make sport accessible to all.

Vision statement

DECATHLON commits to reach net-zero greenhouse gas emissions across the value chain by 2050.

Values

The company is based on simple rules: focus on what you love to do, you have the right to try, to make mistakes and to try again.
Four values flow from these simple rules:
VITALITY: being positive and full of energy.
RESPONSIBILITY: taking responsibility for yourself and being an active player in your own life.
AUTHENTICITY: being true to yourself and to others.
GENEROSITY: doing things from the heart and looking out for others

II)Segmentation for Decathlon's Renting Offering

To effectively segment the market for Decathlon's renting offering, we can consider various demographic, psychographic, and behavioral factors. Here are some potential segments:

1. *Demographic Segments*

To ensure that rental offerings are tailored to the customers financial and activity-based needs.

Young Adults (18–35):

They are tech-savvy, cost-conscious, and open to renting.

Want affordable access to gear for diverse activities (e.g., hiking, biking, and fitness). Most likely to rent cycling, fitness, and beginner-friendly equipment.

Families:

They value convenience and affordability for group activities. Want camping gear, family-sized tents, and outdoor equipment. Most likely to rent seasonal outdoor products (e.g., hiking, snow sports).

Seniors:

They prioritise comfort and functionality. Want specialized sports or fitness equipment (e.g., walking poles, home fitness gear). Most likely to rent low-impact fitness tools and easy-to-use gear.

2. *Psychographic Segments*

It allows Decathlon to attract eco-conscious and adventure-seeking customers who are more likely to value the flexibility and sustainability of renting.

Sustainability-Conscious Consumers:

For those who are driven by eco-friendly values. Want options for renting instead of buying to minimise waste. Most likely to rent durable, reusable products (e.g., refurbished items).

Adventurers & Experimenters:

For those who Enjoy trying new sports or exploring outdoor activities. Want short-term access to high-performance or niche equipment. Most likely to rent water sports, snow sports, and high-end gear.

3. *Behavioral Segments*

Rental preferences, if shaped by factors like purchase frequency, usage rate, and loyalty, would enable Decathlon to design rental programs that appeal to both first-time users and repeat customers.

Occasional Users:

They need gear for one-time events or rare use. Want short-term rentals for specific occasions (e.g., camping trips). Most likely to rent cost-effective, accessible products (e.g., tents, bikes).

Frequent Users:

They regularly engage in fitness or outdoor activities. Want reliable, well-maintained equipment for consistent use. Most likely to opt for subscription or loyalty programs for fitness and cycling gear.

4. *Product-Based Segments*

It allows Decathlon to target users based on their specific activity needs and seasonal demands.

Outdoor Enthusiasts:

They focus on hiking, camping, and adventure sports. Want to rent hiking gear, camping kits, and water sports equipment. Most likely to choose multi-day rentals and bundled packages.

Seasonal Sports Users:

They engage in seasonal activities like skiing or paddleboarding. Want temporary access to high-quality seasonal gear. Most likely to rent winter sports gear (e.g., skis) or summer water sports equipment.

5. *Experience-Based Segments*

It ensures accessibility and satisfaction across all expertise levels.

Beginners:

They are interested in testing the equipment before committing to purchase. Want Entry-level gear and guidance. Most likely to go for trial programs for activities like yoga, running, or cycling.

Advanced Athletes:

They seek high-performance equipment for training or competitions. Want specialized, premium products. Most likely to get professional-grade gear for team sports and outdoor activities.

Advantages of these Segments

Customer-Centric Offerings: Tailors rental services to meet the specific needs of defined segments.

Streamlined Marketing: Focuses on distinct messaging for young adults, families, and sustainability-driven users.

Revenue Optimisation: Differentiates pricing for occasional and frequent users.

Sustainability and Innovation: Appeals to eco-conscious consumers with refurbished and rental options.

This allows Decathlon to focus on scalable strategies and align its rental offering with market trends while strengthening its position in the sports and outdoor industry.

III)Pure strategies

Pricing strategy:

What is the ideal pricing strategy?

It would be ideal for decathlon to choose a hybrid pricing strategy with a combination of cost leadership and differentiation strategy. Decathlon is often recognized as a leader in offering good quality products at a very affordable price. Due to this fundamental reason, it would be ideal for decathlon to combine renting affordable products (cost leadership) with innovative good quality products.

There is a lot of competition in the sportswear industry from players like Walmart and similar budget friendly brands that require maintaining low costs to penetrate the market.

Decathlon should execute a hybrid strategy by following elements of cost leadership strategy:

Strengthening their position by lowering their costs:

To better their economies of scale: they must optimize sourcing products globally, as decathlon already designs and produces most of their products through brands that they own.

Use advanced software to forecast demand to minimize inventory costs and maximize rental efficiency.

Focus on small and upcoming brands:

Continue investing in brands that provide affordable but good quality products to provide alternatives to global brands

Optimising operation:

They can optimize operations by investing in e-commerce. This will increase more purchases online and less purchases through physical stores which reduces overall overhead costs.

Decathlon should execute a hybrid strategy by following elements of Differentiation strategy:

Using innovative products:

By expanding their line of innovative products, like diving equipment and so on, you can compete with different markets and attract more customers. You can also expand your product line to technologies like low-cost fitness trackers to enter a new market.

Customer experience:

Upgrade their in house repairs services by making it more interactive and fun to differentiate decathlon from its online competitors. Also make the online rental platform more interactive by offering Virtual reality checks for their products.

Commit to Eco-friendly materials and brands:

By committing to Eco-friendly materials and brands to further strengthen their image as an environmentally conscious company. This will increase brand loyalty and retention in a growing environmentally friendly market.

IV)PESTEL Analysis

Political

Sustainability Regulations: European Union policies such as the Circular Economy Action Plan and Green Deal provide a favorable framework for Decathlon's renting model by incentivising sustainable business practices and waste reduction.Through the Circular Economy Action Plan, the government's plan on encouraging businesses that have adopted circular economy and product-as-a-service models. They also aim to minimise waste by promoting reuse and repair over disposal. Decathlon can benefit from the subsidies and funding from these.Through the Green Deal, the goal is to achieve net-zero carbon emissions in Europe by 2050, which aligns with Decathlon's goals as well. The Green Deal provides access to green funding and investment for sustainable businesses. Decathlon could use these resources to scale its repair-first and rental models.

Cross-Border Compliance: Operating across multiple European nations with diverse legal requirements for rentals (e.g., VAT regulations, consumer protection laws) necessitates tailored approaches to compliance. However the vast infrastructure and resources that Decathlon have at their disposal, they can easily overcome this, paired with hiring dedicated legal teams and having an eye on the localised pricing rates and renting policies.

Support for Renewable Practices: Many European governments offer subsidies for companies adopting green technologies, which can support Decathlon's efforts to scale its repair-first and rental strategies. Countries like Germany and Sweden present strong opportunities for Decathlon's rental and circular economy model due to their supportive renewable energy policies and commitment to sustainability. For instance, Germany's emphasis on renewable energy integration and Sweden, with its carbon neutrality goals, offers a robust regulatory environment for sustainable business practices. Together, these countries provide both the infrastructure and regulatory incentives to help Decathlon expand its sustainable, rental-based services

Economic

Market Growth Opportunity: The European rental market for sports goods is valued at €3-5 billion, with Decathlon holding less than 1% share. There is substantial room for growth, especially with increasing consumer interest in short-term and subscription-based rentals. Various reports show that countries that are characterised by high tourism and co-living status tend to prefer the renting option better.

Affordability Appeal: Economic uncertainties, including inflation, are driving consumers toward renting as a cost-effective alternative to purchasing. This is especially relevant for high-cost items like bikes or specialty equipment. Even as inflation is expected to stabilise, the GDP growth rate at average in Europe is still perceived to be low, due to which people may prefer such low-cost modes of travel.

Revenue Streams: Decathlon's subscription models provide steady income, while short-term rentals cater to seasonal or event-specific demand. If Decathlon were to increase their market share, then it would highly be beneficial to the company.

Social

Shift in Consumer Preferences: Millennials (25-35 years old) prefer access over ownership, aligning perfectly with Decathlon's rental options. Renting offers them trial opportunities and temporary use for specific activities. Further, the future generations, especially in Europe are more fast-paced and tend to indulge in activities such as travelling and job-hopping, due to which they would opt for more practical ways of travel. The end of 2023, marked the highest involvement of Europeans in fitness, which was a mammoth 67 million active enthusiasts. This can be attributed to trends such as growing awareness on health and wellness.

Health and Lifestyle Trends: The growing focus on fitness and sustainability encourages consumers to explore flexible, low-impact options like rentals instead of purchases.

Cultural Adaptation: Decathlon must tailor its offerings based on regional sports preferences (e.g., cycling in the Netherlands, water sports in coastal Spain) to maximise rental adoption, this will result in more interest from the part of the customers.

Technological

Digital Solutions Gap: While subscription models are supported by IT systems, the lack of dedicated technology for managing short-term rentals creates inefficiencies. Investing in a unified digital rental platform can streamline operations and enhance customer experience, bypassing the inefficiencies caused by the existing app.

Product Innovation: Repair-friendly and modular product designs extend rental lifecycles, such as bikes with replaceable components or durable tents, which is an added benefit, thus reducing wastage of parts due to one faulty accessory.

Data Analytics: Leveraging data from rentals can improve inventory management, predict demand, and personalise offerings based on usage trends. Accordingly, stores can be stocked and irrelevant items can be taken off of the shelf.

Environmental

Circular Economy Commitment: Renting plays a pivotal role in Decathlon's sustainability efforts, allowing the company to reduce waste and extend product life cycles. These efforts align with its goal of achieving net-zero emissions by 2050, which also aligns with the goals of various governments, individuals and groups.

Eco-Conscious Consumers: The increasing awareness of environmental issues motivates customers to rent rather than purchase, supporting Decathlon's sustainable business model.

Repair-First Philosophy: Prioritising repairs before transitioning items to second life (resale or recycling) minimises environmental impact.

Legal

Consumer Protection Laws: Decathlon must ensure compliance with laws governing rental agreements, insurance (e.g., theft and damage coverage), and liability, particularly as they vary across European markets.

Sustainability Standards: Adhering to strict EU environmental regulations, such as product recyclability and material sourcing, strengthens Decathlon's reputation and operational sustainability.

V)PORTER'S ANALYSIS

1. *Threat of New Entrants: Moderate*

Barriers to Entry: Decathlon's established brand, supply chain, and scale provide significant barriers to entry. With a worldwide presence and a large and existing customer base, Decathlon is well-positioned to maintain its current rental offerings. However, new entrants in the rental market (especially in niche sports or eco-friendly product rentals) may introduce competition, particularly with boutique fitness studios or other specialised rental platforms.

Technology Adoption: Although Decathlon is experimenting with subscription models and short-term rentals, technological barriers are still there, especially in IT solutions for short-term rentals. New entrants could leverage cutting-edge technologies or digital platforms to offer more user-friendly, personalised, or frictionless rental experiences, through apps exclusive for renting.

Capital Investment: Significant investment in infrastructure (warehousing, fleet management, etc.) and technology is needed to compete at Decathlon's level. Smaller entrants may find it difficult to match this type of heavy investment and develop such a high level of goodwill.

2. *Bargaining Power of Suppliers: Low to Moderate*

Product Sourcing and Relationships: Decathlon manufactures and sources its own products, which gives it significant bargaining power over the suppliers. Its focus on affordable sports goods that emphasise sustainability allows the company to negotiate favorable terms, especially with suppliers of eco-friendly materials and durable products.

Sustainability and Circular Economy: The move towards a circular business model (repair, recycle, refurbish) reduces dependency on traditional suppliers by creating opportunities for internal innovation. Partnerships with third parties (e.g., for repairs) could slightly increase supplier power, but Decathlon's control over its supply chain reduces this risk, proving to be an advantage.

Rental Equipment: For specific items, such as high-end bikes and fitness equipment, suppliers may hold moderate power. Decathlon’s reliance on external manufacturers for certain niche products could lead to dependency, though the company can mitigate this by using a variety of suppliers and ensuring quality through in-house repairs.

3. *Bargaining Power of Buyers: High*

Customer Expectations and Choices: With millennials (aged 25-35) as the primary renters, these consumers are highly price-sensitive and expect value from rental services. The ability to switch towards other competitors offering similar rental products (e.g., bikes, kayaks, fitness equipment) without significant switching costs increases buyer power.

Subscription and Short-Term Rentals: The subscription model provides flexibility, which appeals to consumers but also gives them more leverage as they can easily unsubscribe or choose competitors offering lower rates, better services, or more tailored rental options. Additionally, the lack of a robust IT solution for short-term rentals means that buyers may seek alternatives with more integrated digital experiences which are more convenient for them.

Price Sensitivity and Product Trials: Renting allows customers to test expensive products before committing, and the growing trend towards experiential consumption gives buyers significant bargaining power. If a customer does not have a positive rental experience (e.g., issues with equipment, delivery, or maintenance), they can easily turn to other rental providers.

4. *Threat of Substitute Products or Services: Moderate*

Traditional Ownership: The most significant substitute to renting is purchasing products outright. For items that are used frequently or for the long term, ownership is still preferred by many, especially if the cost of renting over time becomes comparable to buying.

Other Rental Models: Competitors in the rental market, such as specialised e-bike services, boutique fitness studios, or even peer-to-peer rental platforms (e.g., Airbnb for equipment), offer alternatives. Decathlon's focus on affordable and sustainable products positions it well to compete, but increasing competition from niche players offering personalised or highly convenient services becomes a moderate threat.

Innovative Subscription Models: Subscription-based rental services for high-end sports equipment and fitness equipment (like Peloton for home fitness or rental services for camping gear) are gaining popularity. Decathlon's expansion in this space is crucial to avoid losing customers to more specialised alternatives.

5. *Industry Rivalry: High*

Competitive Landscape: The rental market is highly competitive, especially as companies such as Decathlon, REI, Lime (e-bike rental), and other sporting goods retailers are entering the space. Boutique fitness models, with their personalised services and flexible pricing, are also growing rapidly, increasing competition in niche segments like fitness and adventure sports.

Brand Loyalty and Differentiation: Decathlon's strong brand loyalty and focus on sustainability (net-zero by 2050) offer differentiation points in the market. However, competitors can challenge this advantage with better customer service, more flexible rental models, or better technology integration for user experience.

Innovation and Technology: The race to implement digital tools, such as personalised rental experiences or hybrid fitness models, creates pressure to innovate. Decathlon's progress in these areas is crucial to its future success. The lack of IT solutions for short-term renting is one area where competitors may capitalise on technological improvements.

VI)VRIO

1. *Value: Do decathlon's renting services meet their customers' needs and create any value for them?*

Renting sports equipment is a cost effective and sustainable solution for customers who require products for a short amount of time. This also reduces their financial burden. The renting services creates a circular economy where products and materials are kept in circulation. This is beneficial for the customer and decathlon because:

Sustainable: The products offered through their services are more sustainable, making it more attractive to the customers. Customers can reuse, repair and refurbish products as though the product was their own aligning with environmental values.

Lower cost: Renting products are more cost effective as these products are used a lot while decreasing the cost of maintenance for both Decathlon and the customer.

Improved product life span: Renting a product encourages decathlon to make long lasting products that are durable while reducing the need for frequent replacement.

Enhanced customer service: Renting a product as a service model increases engagement between customers and decathlon which increases brand loyalty and retention.

Satisfying Changing needs: Circular business models are equipped to adapt evolving customer demands and expectations. When a product is not in demand, customers can quickly rent a product in demand

Growth for innovation: Renting products makes the manufacturer to design and innovate their product to reduce costs through repairs and make them long lasting.

Contribution to the environment: A circular economy reduces the number of products manufactured as multiple people can use the same product as and when they need instead of each individual household buying a product. This decreases the carbon footprint by a lot.

Overall, the products renting products are valuable to customers because they get access to better quality products at a lower cost, with more engagement with the decathlon staff while helping the environment.

2. *Rarity: Is the decathlon strategy of renting out products to customers rare among its competitors?*

Although renting products is still an upcoming trend, Decathlon does have some competition in this sector. For example, Intersport rent and Huski offers ski's, snowboarding equipment, bikes and various outdoor gears. Similarly, in the Us, you have Patagonia, north face and many other brands that offer these services too.

Decathlon can further differentiate its rental offerings by including perks such as repair, maintenance, different types of rental plans and so on.

3. *Imitability: Is it costly for decathlon's competitors to replicate their rental services?*

Though it does not cost a lot of money, other companies might have a hard time imitating decathlon's strategy to maintain their rental offerings.

Logistical expertise: Decathlon has a well-established global supply chain and logistics network which can easily be catered for its rental offerings. Handling the rental items, their quality checks and ensuring their availability of the products requires a lot of investment in infrastructure and expertise. Competitors who do not operate at a similar scale to decathlon will find it hard to compete with them.

Product design: Decathlon both buys and manufactures its own products to sell and rent to customers. By designing their own products, they can listen to customers' feedback and make their own changes quickly instead of waiting for other brands to implement them to satisfy its customers.

Technology integration: Decathlon has systems like apps and websites in place that help them manage their rentals easily. Developing such an infrastructure requires time and expertise, acting as a barrier to competitors.

Even if companies have access to all these technologies, as a global retailer, decathlon benefits from economies of scale enabling them to offer competitive rental pricing. Also, by establishing themselves as a new player in the rental market, newcomers will find it hard to compete with decathlon.

4) *Organisation: Is decathlon well equipped to capture the value of its renting strategy of its customers?*
Decathlon already has a strong logistics and supply chain network and a physical presence in the renting market. Effective marketing campaigns and good operations will be critical to popularize decathlon's renting services.

VII)SWOT

A SWOT analysis is a tool designed to analyse a business from four different aspects, in particular the strengths, weaknesses, opportunities and threats. The following serves as a comprehensive analysis of Decathlon's renting services:

Strengths
Affordability and Convenience: One of the most compelling strengths of a rental service is the ability to rent products, especially more expensive equipment such as hiking gear or cycles, for a limited period of time at an affordable rate. This brings Decathlon the customers that do not have long-term requirements for the product or are not willing to invest the full amount as new and potentially recurring customers to the firm.
Brand Recognition: The firm is a well established international sporting goods provider and thus consumers are likely to trust the brand more than other smaller rental providers.
Extensive Catalogue: Another benefit of being an existing large player is the ability to offer a wide variety of products, reassuring consumers that the store is likely to have all they need. This also attracts consumers as they would most likely rather buy all the equipment they need from the same place for the sake of simplicity and ease.
Customer Familiarisation: Transacting and engaging with customers through the rental platform can lure them into purchasing from Decathlon's other offerings such as their physical products for sale.

Sustainability: The rental model reduces waste and supports the circular economy by re-using products over a long time horizon.

Weaknesses

Limited Exposure: The service is still comparatively new and most of the market is unaware of its existence.

Employee Unfamiliarity: It is likely that most of Decathlon's sales force is still untrained or inexperienced on selling rental offerings and balancing the dynamic between rental goods and long-term buys. For example an employee may not be able to correctly understand the customer's needs and recommend the best choice to them such as renting or buying.

Maintenance and Insurance Costs: Keeping all the stock in market-ready conditions can be resource intensive and costly, widespread theft or other damages liable to insurance can also prove financially taxing. Large volumes of business can lead to high workloads and small volumes of business can lead to maintenance costs overtaking revenue, creating losses.

Opportunities

Expanding Customer Base: Rental services can bring more people into the Decathlon network and prompt them to buy from their other services.

Digital Establishment: Creating a user-friendly app and website to allow for seamless product bookings can make Decathlon rentals more of a viable option and a household name. Especially useful to secure impulse or time constrained customer demand,

Strategic Partnerships: Rental services allow Decathlon to make more low-risk partnerships where they do not have to make long-term commitments. Ideal for partnering with local organisations such as schools or sports clubs and gaining exposure to local communities.

Popularity in Outdoor Activities: Trekking, hiking, biking, and other such outdoor activities that require expensive gear is gaining popularity. Decathlon can capitalize on this traction and be at the forefront of affordable solutions for the activities, especially during seasonal demand spikes.

Threats

Competition: New competitors continue to enter the market and attempt to grab market share.

Seasonality: Holiday seasons where certain sports are more popular is likely to cause volatility in demand for products and the specific types of products. For instance surfing gear demand may be more popular in summer but almost non-existent in winter.

Unreliable Consumer Preferences: New trends and changes in consumer tastes can significantly affect demand for equipment. Maintaining its existing large catalogue and also updating it regularly to account for new demand can prove challenging.

VIII)Business Model Canvas:

IX)ERRC

Eliminate

Renting contracting for a long term use which may affect a consumer's choice and flexibility.

Pricing: Price similar products with not much difference between the renting price among products which will help us with administration and keeping track.

Non Rentable: Prioritise on which goods to rent on a high scale on a seasonal basis as demand for certain products will rise according to the season.

Reduce

Inventory costs and mismanagement: Avoid Overstocking and try to predict the demand and have limited stocks in the warehouses.

Maintenance costs : Reduce maintenance costs and try charging customers for one service after the usage of the product(not for every product).

Customer acquisition costs : Reduce spending a lot of money on adverts and spend time building quality organic marketing content and have expanded community services which will increase consumer experience and give a first hand experience.

Raise

Product offerings with not only limited items but with a choice of limited items but having more in number so it is available to anyone (inadequacy of products).

Customer loyalty and retention by raising awareness about the various awards offers that take place by mail or SMS to existing customers.

Technology integration:

Try to integrate technology with products like fitbits and calorie trackers and now that the world is evolving towards a more fitness based society ,raise awareness about calorie tracking and introduce products relating to that

Create

Subscription models: create subscription models for customers who rent rackets,paddles,bikes on regular basis where a particular amount will auto debit from their account depending on the items the consumer has rented

Digital ecosystems: Build ecosystems and communities with the help of developing an app where consumers can host games in one of the rented spaces offered by decathlon and people who have signed in the app can join these games

Value addition: When a consumer rents a product create a process where all the paper works are completed without any delay and add value by providing insurance and adding extended warranties for the product

X)Theories of Platform

Platform Strategy

The platform strategy of a company refers to how the interactions between the buyers or consumers and the company is conducted. The objective is to create maximum value by optimising the platform for the best outcomes. Decathlon has various elements to it's platform strategy, beginning with:

Multi-Sided Market

The rental platform connects two groups, the customers who are the buyers and create demand, and Decathlon who acts as the seller, insurer and the one who provides post purchase support.

Network Effects

Direct Network Effects: The more people that buy from the rental service offering, the more exposure Decathlon gets through systems such as word of mouth.

Indirect Network Effects: The spill-over effect created when rental service consumers transition into long term buyers is a form of indirect network effect.

Governance

Decathlon is primarily a closed platform as it maintains full control of its inventory, quality standards, etc. If quality and technological trajectories are prioritised, this can prove to be an asset. However with scale, Decathlon may need to hire 3rd party help to sustain a healthy supply chain.

Decathlon's Long Tail

The firm has an extensive list of product offerings, making their long tail product line considerably large. This allows them to cater to a wide variety of consumers and capitalise on sudden surges in demand that other firms may not be prepared for.

Technological Advancement

Decathlon has a firm back-end system in place with robust processes and technologies that create a secure overall supply chain. Their three main assets are their strong brand reputation as a quality supplier of sports equipment, their sought-after in-house brands such as Quecha and Kalenji and their affordable prices that make them even more competitive.

Recommendations

Question 1) Decathlon aims to extend the lifespan of rented products to achieve sustainability goals. This reduces waste, conserves resources, and strengthens their brand image.

1. Design and Manufacture a Long Lasting Product:

Rugged Materials: The use of robust, durable materials such as stainless steel, aluminum, and abrasion-resistant fabrics to withstand frequent use and harsh environments.

Modularity: Products are designed using modular components, so they can be easily repaired or replaced, giving them longer lifespans.

Quality Control: Ongoing quality control at all times during production keeps quality consistent and defects to a minimum.

Coatings and Treatments: These make the product more long-lasting, resistant to wear and tear.

Ergonomic Design: Comfortable and safe designs lower the destruction risk in beginning phases.

2. Efficient Maintenance and Repair Services:

In-House Repair Centers: Strategically located repair centers within busy stores or regional distribution centers are equipped with necessary tools and staffed by skilled technicians.

Skilled Technicians: Technicians are trained on product-specific repairs, problem-solving skills, and relevant certifications to establish quality standards.

Standardised Repair Procedures: Comprehensive repair manuals, quality control checklists, and performance metrics ensure consistent and efficient repairs.

Inventory Management: Essential spare parts are readily available through strong vendor partnerships and inventory control systems. Collaboration with external repair specialists is established for intricate repairs and knowledge sharing.

3. Incentivising Product Care:

Loyalty Programs: Points-based and tiered loyalty programs reward customers for responsible product use and frequent rentals.

Educational Campaigns: In-store workshops, online tutorials, and product care labels educate customers on proper care and maintenance. Product care kits with essential cleaning and repair tools are provided.

4. Data-Driven Insights:

Product Usage Tracking: RFID technology tracks product movement to identify usage trends. Customer surveys and feedback provide information about usage patterns and preferences.

Predictive Maintenance: Machine learning algorithms analyze historical data to predict potential failures, making proactive maintenance schedules possible.

Optimised Inventory Management: Historical data and predictive analytics are used for demand forecasting and dynamic pricing to get best inventory levels. Collaborative consumption through peer-to-peer rentals increases product utilisation.

5. Circular Economy Initiatives:

Program to take back products: Clear product return policies, rewards and transparent recycling processes encourage product return.

Partnerships with Recycling Companies: Good relations with recyclers ensures that the final product will be disposed properly.

Product Design for Circularity: Products are designed to be modular, long lasting using recyclable materials, and have end-of-life considerations.

By implementing these strategies, Decathlon can significantly extend the lifespan of rented products, reduce environmental impact, and solidify its position as a sustainable company.

Question 2) Why Should Decathlon Develop Products Exclusively for Renting?

Developing products exclusively for renting is a strategic move for Decathlon as it would allow the company to align its sustainability goals with demand of consumers for affordable, temporary access to high-cost products. There are several reasons why Decathlon should follow this strategy:

Sustainability Factor: As Decathlon is committed to reaching net zero emissions no later than 2050 and transitioning toward a more circular economy, the production and design of products specifically for rent would further assist in its sustainable goals. These could be made for durability and reparability, minimizing waste and lengthening the life cycle of each item to utilize it to its fullest potential.

Cost-Effectiveness for Consumers: Many consumers, especially Millennials and Gen Z, are increasingly interested in renting as a more affordable and flexible option to ownership, while some even try out a sport for temporary or 'once-in-a lifetime experience.' By developing rental-specific products, Decathlon can tap into this growing market of price/sustainability-focused customers who do not prefer ownership. This is especially true for costly equipment, such as stand-up paddleboards or bicycles, which are usually used only during a specific season or on particular occasions.

Customised for High Usage: Rental products are used more frequently and in varying conditions compared to purchased items. Designing products for rental purposes, such as modular bikes, weather-resistant camping gear, or robust water sports equipment, would ensure they sustain heavy use, reducing wear and tear and lowering long-term maintenance costs. Decathlon could also improve repair services for these products, increasing their appeal to eco-conscious consumers.

Competitive Advantage: By designing products specifically for rental, Decathlon can differentiate itself in the rental market sphere. There could be a tendency that customers may not know about the Decathlon renting feature, which could prove to be a disadvantage.This would allow the company to offer better quality, more durable products, as opposed to standard off-the-shelf items that are less suited for the wear and tear that rentals endure.

How Can Decathlon Capture Market Share, Considering Its Low Market Share?

Decathlon currently holds less than 1% of the European rental market (estimated to be worth €3-5 billion). To capture market share, Decathlon should consider the following:

Leverage Existing Brand Loyalty: Decathlon has a strong brand reputation for offering affordable, quality sports equipment. In expanding into the rental market with products created for this purpose, Decathlon will be able to tap into its existing customer base and drive awareness through appealing/educating promotional strategies on the benefits of adopting rental services.

Diversify Product Portfolio: Decathlon shall focus on high-demand rental products that cater to specific outdoor or sports activities, like bikes, camping gear, kayaks, and fitness equipment. These categories are particularly popular in countries like France, Portugal, and the Netherlands, where Decathlon is already established. With an expanded range of exclusive rental products for short-term and subscription-based rentals, Decathlon can tap diverse needs across target markets.

Focus on Key Demographics: By targeting younger, more eco-conscious consumers (millennials and Gen Z), Decathlon can tap into the growing demand for sustainability-focused services. These groups are not only more likely to rent instead of buy, but they are also stimulated by experiences rather than ownership, which could serve as a plus. Personalisation and flexibility (e.g., rental periods, subscription options) would appeal to these consumers. Through personalisation and flexibility, customers can exactly get what they need, and this may result in less wear and tear due to prolonged use or misuse.

Implement Digital Solutions: One of Decathlon's current gaps in the rental market is the lack of an integrated IT solution for short-term rentals. By developing an exclusive mobile app or online platform that makes the rental process seamless, apart from just its in-app extension, Decathlon can enhance customer convenience, which would improve visibility and retention and increase rental volumes.

Partnerships and Collaborations: Decathlon could form strategic alliances with travel companies, tourism agencies, or local outdoor clubs to promote rentals as part of vacation packages or group activities. This would increase product exposure and attract a regular set of customers who might otherwise not consider renting sports equipment, thus garnering consistent revenue.

Develop more standardised modular design across the product line, ensuring that various products such as bikes may have more common components, resulting in better sustainability and inventory management. Further, even a modular subscription based model could be introduced where even parts can be rented.

Using recycled metals, fabrics which are also biodegradable, can also immensely contribute to the circular economy model. 3-D printing for cost production can also be considered as a low cost and efficient manner of production in the long run, as they can reduce costs such as transportation from bif factories to warehouses and minimising the use of raw materials, however energy consumption can increase which could be a negative and can be mitigated if the right kind of machinery is purchased. One example could be Nike and using 3D printers for sustainable footwear.

Limitations to Developing Products Exclusively for Renting

While there are clear benefits to developing products for renting, there are several limitations Decathlon must consider:

High Initial Investment: Since designing and manufacturing products for rent requires heavy upfront investment in research and development, especially for durable, modular, and easily repairable products, Decathlon has to make sure that these products will be not only durable but also cost-effective to manufacture over the long term.

Market Saturation Risk: In the event of further development in the rental market, Decathlon will have to face increased competition from both traditional retailers offering rentals and new entrants offering niche rentals. For example, companies such as Lime-e-bikes and REI-outdoor gear-already operate successful rental programs with specialized products.

Storage and Logistics Challenges: Rental products require efficient logistics and inventory management, particularly in urban centers where storage space is limited. Managing the movement of large quantities of rental equipment can be expensive, especially for products like bikes, kayaks, or fitness equipment that require specialised storage space and maintenance.

Customer Return Rates: Managing product returns and ensuring that items are maintained properly is a significant challenge. Products like bikes and outdoor gear could face significant wear, and ensuring that they are in good condition for the next customer could be resource and time consuming, hence appropriate steps should be taken.

Market Acceptance: While renting is growing in popularity, consumer trust in rental services, especially for more expensive items like high-end bikes or fitness equipment, may still be a barrier. Decathlon would need to work on brand education and reassurance around the quality and maintenance of rented items.

Question 5) How can Decathlon better promote its renting offering?

An Optimised Digital Platform With Advanced Consumer Targeting Systems

Creating a user-friendly application for Decathlon renting can significantly reduce buying friction for the consumer by eliminating the hassle of having to go to physical Decathlon stores and cutting out other time-consuming processes.

The application must have cutting-edge UI/UX faculties and offer a seamless, simple and easy user experience for ordering rentals. The aim is to make booking rentals as easy or even easier than booking a taxi. There should be clear prices, a concrete and simple process for collection and returning of the product, easy to understand policies and insurances and a quick and accessible payment plan. The process should clearly illustrate to the consumer how exactly they are to take possession of the product, rules and regulations regarding the rental itself and how they must return the product. Allowing options such as paying additional money for delivery and pick up of the product at the customers home address can also instill new revenue sources for the company.

Furthermore, the application should make exhaustive use of customer data, in both its collection and implementation. There should be trends and unique profiles made for each customer, noting their buying behaviours and tenancies. Based on this data and other data sources, the AI should suggest personalized recommendations to the consumer through notifications, emails and in-app features. This addresses the challenges Decathlon has with regards to its sizable long tail product line by niching its customers and can help increase both efficiency and sales through effective data utilisation. Upsells, discounts and bundles are also ideal to create and dispense based on customer profiles.

Lastly, creating a separate app dedicated to Decathlon rentals has a positive psychological effect on consumers by signalling a sense of security and confidence to them. This effect is created as making a separate app for rentals shows Decathlon's seriousness and care for this part of their business and that they are willing to devote considerable resources to this endeavour. It also helps de-couple Decathlon's rental services from the larger company, which goes a long way in helping build credibility and a unique identity for the rentals.

Giving the application or the rental service as a whole a unique name can also amplify this effect considerably.

The aforementioned implementations takes Decathlon’s online platform from a segmented option in the website to a standalone rental service offering fast and easy bookings backed with Decathlon’s strong brand reputation.

Conclusion:

From a single store in Lille, Decathlon has grown to become one of the largest sports equipment and sporting goods retailers globally, offering accessible, sustainable, and innovative solutions. Through this project, Decathlon's renting services have been discussed in light of creating opportunities for growth aligned with the company's wider mission and values.

Using SWOT, the strengths are underlined by affordability, brand recognition, and sustainability. This indicates weaknesses in exposure limitation and lack of employee familiarity with their rental offerings, through which they need to make some strategic improvements. Opportunities may consist of increasing the volume of their customers, using more digital platforms, and gaining interest in outdoor activities to support growth. At the same time, threats involving competition and seasonal changes involve serious planning and proactive efforts.

The VRIO framework shows that the renting services of Decathlon are valuable but not rare, and there is a high chance of gaining advantages from logistical expertise, technology integration, and economies of scale. The analysis also underlines the need for continuous differentiation, such as modular product design and robust customer engagement strategies, to maintain the competitive advantage.

The business model analysis thus underlines how crucial balancing cost leadership and differentiation will be. Decathlon will have to optimize operations and invest in technology while quickly expanding eco-friendly offerings to maintain the rental services as both affordable and desirable, meanwhile reinforcing its reputation as an ecologically responsible brand.

In addition, strategic initiatives such as exclusive product development for renting, leveraging digital platforms, and fostering partnerships offer huge potential for market penetration. Emphasizing long-lasting, repair-friendly products will be in line with Decathlon's sustainability goals while appealing to eco-conscious customers. Besides, a dedicated, user-friendly digital rental platform can streamline operations, enhance customer experience, and differentiate Decathlon in a growing market.

By implementing these strategies, Decathlon can increase its market share, honor its commitment to sustainability, and solidify its position as an industry leader. Customer-centricity, innovation, and environmental stewardship are at the core of Decathlon's renting model, which perfectly represents how business success can align with global sustainability objectives. This strategic approach strengthens not only Decathlon's brand identity but also ensures its long-term relevance in an evolving global marketplace.